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9.4.3 Error of principle

It means the mistake committed in the application of fundamental accounting principles in recording a transaction in the books of accounts.

The following are the possibilities of error of principle:

(i) Entering the purchase of an asset in the purchases book

Example

Machinery purchased on credit for ` 10,000 by M/s. Anbarasi garments manufacturing company entered in the purchases book.

(ii) Entering the sale of an asset in the sales book

Example

Sale of old furniture on credit for ` 500 was entered in the sales book.

(iii) Treating a capital expenditure as a revenue expenditure

Examples

a	An amount of ` 3,000 spent on the construction of an additional room is debited to repairs account.
b	Wages of ` 600 paid for installation of a new machine is debited to wages account.

(iv) Treating a revenue expenditure as a capital expenditure

Example

An amount of ` 2,000 paid for repairs to a machine is debited to machinery account.

9.4.4 Compensating errors

The errors that make up for each other or neutralise each other are known as compensating errors. These errors may occur in related or unrelated accounts. Thus, excess debit or credit in one account may be compensated by excess credit or debit in some other account. These are also known as offsetting errors.

Examples

a	Purchases book and sales book are overcast by ` 1,000 each.
b	Purchases returns book and sales returns book are undercast by ` 100 each.



Student activity

Think: Do you think that all the errors can be revealed by trial balance?